IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, DELHI
BENCH III

CAA- 25/ ND/ 2020

In

CA (CAA) - 02(ND)/2020

U/S 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation
Between

Dibankar Clothing Limited

... Petitioner / Transferor Company 1

And

Kalita Apparels and Marketing Limited

.....Petitioner/Transferor Company 2

And

Moulik Trading Enterprises Limited

..Petitioner/Transferor Company 3

And

Jalsa Clothingline Limited

...Petitioner/ Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

MEMO OF PARTIES

Dibankar Clothing Limited
House No. 117, Sector 9, Opposite Sports Complex,
Lal Jyoti Apartments, Rohini
New Delhi-110085 *Transferor Company Number 1*

Kalita Apparels and Marketing Limited

House No. 117, Sector 9, Opposite Sports Complex,
Lal Jyoti Apartments, Rohini
New Delhi-110085 *Transferor Company Number 2*

Moulik Trading Enterprises Limited

House No. 117, Sector 9, Opposite Sports Complex,
Lal Jyoti Apartments, Rohini
New Delhi-110085 *Transferor Company Number 3*

Jalsa Clothingline Limited
House No. 117, Sector 9, Opposite Sports Complex,
Lal Jyoti Apartments, Rohini
New Delhi-110085 *Transferee Company*

Order delivered on 29th July, 2020

CORAM

CH. MOHD SHARIEF TARIQ, HON'BLE MEMBER (JUDICIAL)

SHRI NARENDER KUMAR BHOLA, HON'BLE MEMBER

(TECHNICAL)

For Petitioner : Mr. Rahul Jain (CS)
For Regional Director : Ms. Tania Sharma
For Income Tax : Ms. Lakshmi Gurung
For O.L. : Mr. Tania Sharma

ORDER

Per: **CH. MOHD SHARIEF TARIQ, MEMBER (JUDICIAL)**

1. Under consideration is the CAA-25/ND/2020 filed under Sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The present petition has been filed by the Petitioner Companies named above for the purpose of the approval of the Scheme of Amalgamation, as contemplated

between the Companies and its Shareholders by way of Amalgamation of Transferor Company with the Transferee Company. As per the Scheme of Amalgamation (in short, ***'Scheme'***), *"M/S Dibankar Clothing Limited (Transferor Company 1), M/S Kalita Apparels and Marketing Limited (Transferor Company 2), M/S Moulik Trading Enterprises Limited (Transferor Company 3), with M/S Jalsa Clothongline Limited" (Transferee Company) as a going concern.*

2. The Transferor Company Number 1 is a private Company limited by shares, was incorporated on 16th February 2016, under the Companies Act, 2013. The Transferor Company has its Registered Office at house Number 117, Sector 9, Opposite Sports Complex, Lal Jyoti Apartment, Rohini, Delhi- 110085. Its CIN is U17200DL2016PLC291191.

3. The Transferor Company Number 2 is a private Company, was incorporated on 16th February 2016, under the Companies Act,2013. The Transferor Company has its registered office at house Number 117, Sector 9, Opposite Sports Complex, Lal Jyoti Apartment, Rohini, Delhi-110085. Its CIN is U17221DL2016PLC291122.

4. The Transferor Company Number 3 is a private Company, was incorporated on 20th July 2010, under the Companies Act,2013. The Transferor Company has its registered office at house Number 117, Sector 9, Opposite Sports Complex, Lal Jyoti Apartment, Rohini, Delhi-110085. Its CIN is U51900DL2010PLC206088.

5. The Transferee Company is a private Company, was incorporated on 16th February 2016, under the Companies Act,2013. The Transferee Company has its registered office at house Number 117, Sector 9, Opposite Sports Complex, Lal Jyoti Apartment, Rohini, Delhi- 110085. Its CIN is U17200DL2016PLC291138.

6. The Transferor Company Number 1 is carrying on the business or trade in garments, textiles, handicraft goods and items, articles of wearing

apparel and accessories, made ups and daily wear, inner wear, fashion wear, party wear, hosiery goods. To carry on in India or elsewhere the business of producing, designing, manufacturing, marketing, designing, embroidering, fabricating, stitching, knitting, marketing or supplying readymade garments in wholesale and in retail for men, women and children and to act as traders, agents, distributors, consultants, export house or otherwise to deal in readymade garments and textiles.

7. The Transferor Company Number 2 is carrying on the business or trade in garments, textiles, handicraft goods and items, articles of wearing apparel and accessories, made ups and daily wear, inner wear, fashion wear, party wear, hosiery goods. To carry on in India or elsewhere the business of producing, designing, manufacturing, marketing, designing, embroidering, fabricating, stitching, knitting, marketing or supplying readymade garments in wholesale and in retail for men, women and children and to act as traders, agents, distributors, consultants, export house or otherwise to deal in readymade garments and textiles.

8. The Transferor Company Number 3 is carrying on the business of buy, sell, import, export, distribute, deal in trade, store and generally to carry on the business of merchants and traders of all types of plants, machinery, equipment, hardware, dies, moulds, implements, appliances, instruments, tools, installation and fittings for domestic, industrial, commercial, trading, office or agricultural use, goods, articles and commodities of all kinds and description.

9. The Transferee Company's main object is to buy, sell, import, export, distribute, deal in trade, store and generally to carry on the business of merchants and traders of all types of plants, machinery, equipment, hardware, dies, moulds, implements, appliances, instruments, tools, installation and fittings for domestic, industrial, commercial, trading, office or agricultural use, goods, articles and commodities of all kinds and description.

10. The Board of Directors of the Transferor Companies have approved the present Scheme vide Resolution dated 25th September 2019. The other necessary requirements have also been fulfilled as per the Order dated 02.01.2020 passed by this Bench in CA (CAA) - 02(ND)/2020.

11. The Counsel appearing for the Petitioner Companies has submitted that para 5.1 of the present Scheme states that upon coming into effect of the scheme and with effect from the appointed date, the assets and properties whether comprised in any undertaking or otherwise of the Transferor Companies as defined herein, save as provided in sub clauses (i), (ii),(iii) below shall under the provisions of Section 230-232 and other applicable provisions of the Act, and pursuant to the sanction of the NCLT, without any further act or deed or matter or thing to be made, done or executed but subject to the changes affecting the same as on the effective date, shall stand transferred to and vested in the Transferee Company as a going concern so as to become the undertaking and property of the Transferee Company from the appointed date.

12. Further, the RD in his report stated that the Transferor Companies are regular in filing the statutory returns and no complaints/inspection/investigation or prosecution are pending against the Transferor and Transferee Companies as per the provisions of the Companies Act, 1956/the Companies Act, 2013 whichever is applicable. In the light of documents, the office of Registrar of Companies has no adverse observations to the extent of proposed scheme of amalgamation.

13. The Official Liquidator (In short, '**OL**'), filed its Report to the Tribunal and based on the information submitted by the Petitioner Companies, is of the view that the affairs of the Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act 1956/the Companies Act 2013 whichever is applicable.

14. Report of the Income tax Department ('ITD') has been filed with the Tribunal and they have raised various objections to the Scheme of Amalgamation based on some investigation and stated that the interest of the Income Tax Department may be taken care of. Therefore, the Tribunal directed to file an undertaking on behalf of the Transferee Company to the effect that it will be liable to pay demand if any against the Transferor Companies and to this effect the undertaking has been submitted on 20.7.2020.

15. Paragraph 15.1 of the Scheme provides that the Transferee Company shall follow the method of accounting as prescribed for the Pooling of Interests method under Accounting Standard 14 as notified under the Companies (Accounting Standards) Amendment Rules 2016.

16. Paragraph 3.2 of the Scheme provides for the rationale of the scheme of amalgamation, it states that the proposed amalgamation of the Transferor Companies with the Transferee Company would have the following benefits: -

a. Pooling of resources and infrastructure of the entities to their common advantage, resulting in a more productive utilization of the resources.

b. Integrate, rationalize and streamline the management and administrative structure of the merged business and achieve cost saving.

c. Avoid duplication of regulatory compliances and statutory filings with various government departments.

d. greater economies of scale, reduction in overheads and other expenses.

e. Greater efficiency in cash management of the Transferee entity, and unfettered across to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities to maximize shareholder value.

17. There is no additional requirement for any modification and the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013.

17. Taking into consideration the above facts, the Company Petition is allowed and the **Scheme** of Amalgamation annexed with the Petitions is hereby **Sanctioned**. The Scheme approved shall be binding on the Shareholders, Creditors and employees of the Companies involved in this Scheme. The Appointed date of the Scheme is 01.04.2019.

18. While approving the Scheme as above, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant

provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

19. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

20. A certified copy of this Order shall be filed with the concerned Registrar of Companies within 30 days of the receipt of this Order.

21. The Transferor Companies shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the concerned Registrar of Companies.

22. Upon receiving the certified copy of this Order, the RoC concerned is directed to place all documents relating to the Transferor Companies with that of the Transferee Company and the files relating to the Transferor Companies shall be consolidated with the files and records of the Transferee Company.

23. In compliance with requirements of Section 230(7) of the Companies Act, 2013, the Transferee Company herein shall until the scheme is fully implemented, file with the Registrar of Companies, the statement in Form No. CAA.8 along with such fee as specified in the Companies (Registration Offices and Fees) Rules, 2014 within two hundred and ten days from the end of each financial year.

24. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14.12.2016

25. Accordingly, the Scheme stands sanctioned and CAA - 25/ ND/ 2020 stand disposed of.

-Sd-

(NARENDER KUMAR BHOLA)
MEMBER (TECHNICAL)

-S-d-

(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

U.D.Mehta/D

This order of the bench consisting of the above mentioned members was Pronounced by One of the member on behalf of the Bench under Rule 151 of NCLT Rules 2016.